

ECONOMY

LECTURES



UNION BUDGET

MODULE - 23

ECONOMY

UNION BUDGET



MINISTRY OF
FINANCE
GOVERNMENT OF INDIA

HISTORY

- It is “Annual Financial Statement” popularly known as “Union Budget”
- It is as per Article 112 of the Constitution of India
- It is normally presented by the Finance Minister during January / February for the next financial year
- The bills are to be passed by the Parliament before March 31, as the proposals will come into effect from 1st April

Department of Economic Affairs prepares the Budget

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1

REGULAR BUDGET

Looks at both
Revenue and
Expenditure for the
whole Financial Year.

2

INTERIM BUDGET

Looks at both
Revenue and
Expenditure for part of
the Financial Year.

3

VOTE ON ACCOUNT

Permits **Expenditure** only
for specific period say 2
months, but not
Revenue

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Budget



UNION BUDGET



- *R. K. Shanmukham Chetty presented the first budget of the nation on 26th Nov, 1947*
- *Morarji Desai presented Budget for 10 times*
- *Jawaharlal Nehru was the first PM to Present the Budget for 1958-59*

MAIN DOCUMENTS

- Annual Financial Statement
- Demands for Grants
- Appropriation Bill
- Finance Bill
- Memorandum explaining various features of Finance Bill
- Fiscal Policy Statement
- Receipts Budget
- Expenditure Budget

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ANNUAL FINANCIAL STATEMENT (Article 112 of the Constitution)

Receipts & payments of Govt. Presented
every year in three parts

Consolidated Fund
of India
Article 266(1)

Contingency Fund
of India
Article 267(1)

Public
Accounts
Article 266(2)

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MAJOR CHANGES FROM UNION BUDGET 2017-18



THREE IMPORTANT ASPECTS

1

Merger of Plan
and Non-Plan
expenditure

2

Advancing the budget by a
month to the last week of
January / 1st week of
February, so as to
eliminate vote on account

3

Merger of Rail budget
and General budget for
the first time since 1924

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UNION BUDGET

CONSTITUTIONAL PROVISIONS

1

Annual Financial Statement is as per the **Article 112** of the constitution

2

Finance bill is as per the **Art 265 & 110** of the constitution

3

Demands for Grants is as per the **Article 113** of the constitution

4

Appropriation bill is as per the **Article 114** of the constitution

NOTE

Certain other documents produced like **Macroeconomic Framework Statement, Fiscal Policy Strategy Statement, Medium Term Fiscal Policy Statement, Medium Term Expenditure Framework Statement** are as per the provisions of Fiscal Responsibility and Budget Management Act, 2003. However, other documents are in the nature of explanatory statements supporting the mandated documents.

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BUDGETARY PROCESS

1

PRESENTATION



- Presented to the Lok Sabha by the Finance Minister through the “Budget Speech”.
- Secret till presentation
- Subsequently, it is laid before Rajya Sabha

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BUDGETARY PROCESS

2

GENERAL DISCUSSION



- After the general discussion, normally the Houses are adjourned for 2 to 3 weeks.

- It is British Legacy
- It starts just a few days after budget presentation
- It takes place in both the Houses of Parliament
- Finance Minister gives general reply. No voting, no cut motions at this stage

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BUDGETARY PROCESS

3

STANDING COMMITTEES SCRUTINY



- *Introduced in 1993-94*
- *The reports are of a persuasive nature.*
- *Shall not suggest anything of the nature of cut motions.*

- Department standing committees of the Parliament examine and discuss in detail.
- Primarily they look at Demands for Grants of the concerned Ministries.
- Prepare reports on them
- These are submitted to both the Houses of Parliament for consideration.
- These demands are arranged ministry-wise and there will be separate demand for each department.

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BUDGETARY PROCESS

4

VOTING ON DEMANDS FOR GRANTS



- *On the last day of the allotted period, all the outstanding demands are put to vote in Lok Sabha, which is known as Guillotine.*

- After the reports of Standing Committees are presented to Parliament, both the Houses proceed with the discussion.
- Voting takes place on Demands for Grants in Lok Sabha and Rajya Sabha cannot vote.
- Discussion on 'charged' expenditure is permissible and not put to vote.

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BUDGETARY PROCESS

5

PASSING OF APPROPRIATION BILL



- This process starts after the voting on Demands for Grants completed
- Now, Govt. introduces Appropriation Bill.
- The main purpose is to give authority to Govt. to incur expenditure from and out of the Consolidated Fund of India (CFI)
- The procedure is same as in case of other money bills

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BUDGETARY PROCESS

6

FINANCE BILL



- This involves Govt's taxation proposals
- Introduced in Lok Sabha immediately after the presentation of the General Budget.
- It is taken up for consideration and passing after the Appropriation Bill is passed
- It is a money bill
- Parliament has to pass the Finance Bill within 75 days of its introduction.



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UNION BUDGET



IMPORTANT TERMINOLOGY

FISCAL DEFICIT

Difference between revenue receipts + non debt capital receipts and total expenditure.

Broadly this indicates total borrowing requirements of government from all the sources.

REVENUE DEFICIT

It is the excess of revenue expenditure over the revenue receipts

EFFECTIVE REVENUE DEFICIT

Difference between revenue deficit and grants for creation of capital assets

PRIMARY DEFICIT

Difference between Fiscal deficit and interest payments

EXPLAINED AS AN
EXAMPLE ...



सत्यमेव जयते

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UNION BUDGET 2017-18



BUDGET AT A GLANCE

REVENUE RECEIPTS

Rs. 15,15,771 crore

+

CAPITAL RECEIPTS

Rs. 6,30,964 crore
(Borrowings and other
liabilities Rs.5,46,532 crore)

=

TOTAL RECEIPTS

Rs. 21,46,735 crore

TOTAL EXPENDITURE

Rs. 21,46,735 crore

FISCAL DEFICIT

Rs. 5,46,532 crore
(3.2% of GDP)

REVENUE DEFICIT

Rs. 3,21,163 crore
(1.9% of GDP)

EFFECTIVE REVENUE DEFICIT

Rs. 1,25,813 crore
(0.7% of GDP)

PRIMARY DEFICIT

Rs. 23,454 crore
(0.1% of GDP)

EXPLAINED AS AN
EXAMPLE ...



सत्यमेव जयते

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UNION BUDGET 2017-18



RUPEE COMES FROM

Non-Tax revenue

10 Paise

Non-Debt capital Receipts

3 Paise

Customs

9 Paise

Borrowings and
other liabilities

19 Paise

Service Tax and
Other Taxes

10 Paise

Corporation Tax

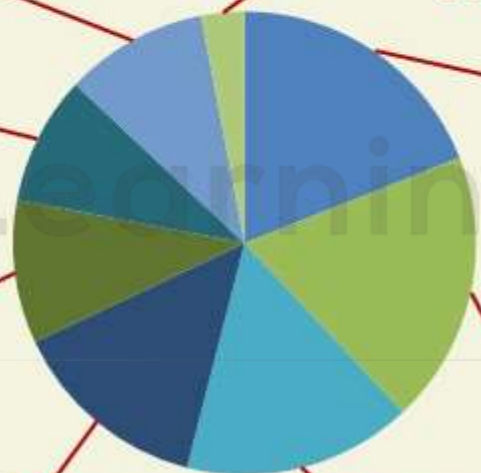
19 Paise

Union Excise Duties

14 Paise

Income tax

16 Paise



EXPLAINED AS AN
EXAMPLE ...

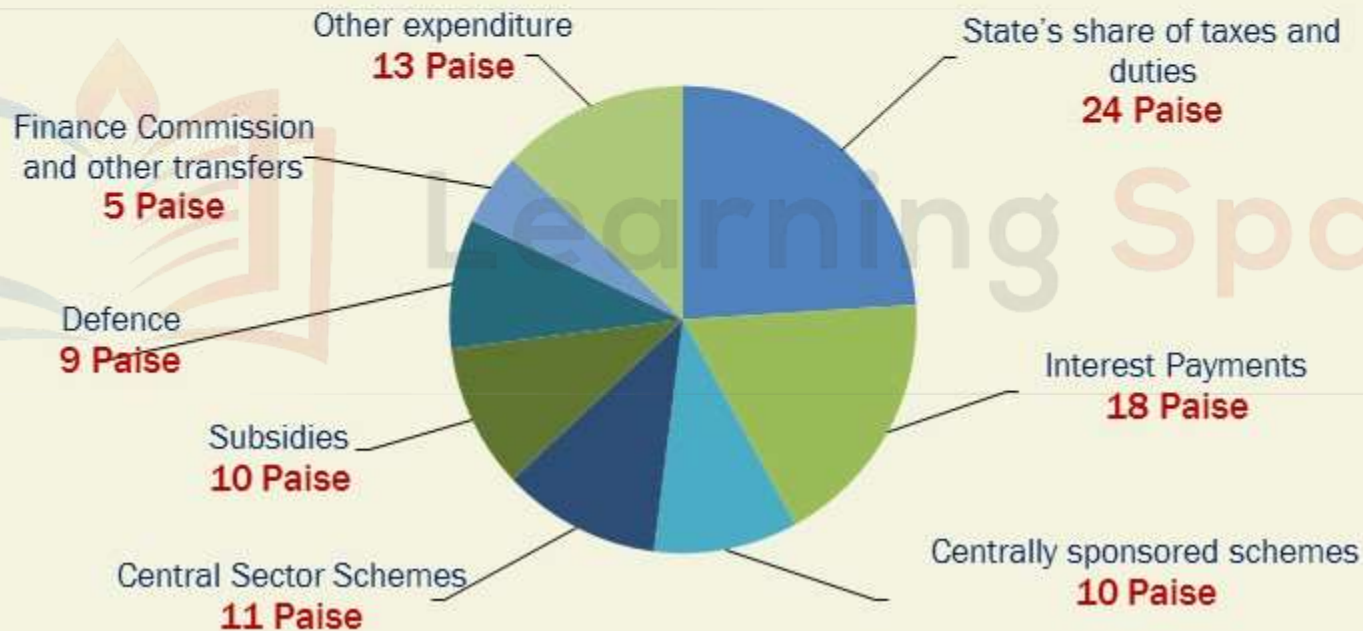


ECONOMY

UNION BUDGET 2017-18



RUPEE GOES TO



EXPLAINED AS AN
EXAMPLE ...

ECONOMY

RECEIPTS

REVENUE RECEIPTS

TAX REVENUE RECEIPTS

UNION BUDGET
2017-18

DIRECT TAXES

CORPORATION TAX

Rs. 5,38,745 crore

TAXES ON INCOME

Rs. 4,41,255 crore

INDIRECT TAXES

UNION EXCISE DUTIES

Rs. 4,06,900 crore

SERVICE TAX

Rs. 2,75,000 crore

CUSTOMS DUTY

Rs. 2,45,000 crore

TAXES ON UNION TERRITORIES

Rs. 4,679 crore

+

=

TOTAL TAX REVENUE

Rs. 19,11,579 crore

STATE'S SHARE

Rs. 6,74,565 crore

HENCE

CENTER'S NET TAX REVENUE

Rs. 12,27,014 crore

EXPLAINED AS AN
EXAMPLE ...

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UNION BUDGET
2017-18

RECEIPTS

REVENUE RECEIPTS

NON-TAX REVENUE RECEIPTS

INTEREST RECEIPTS

Rs. 19,021 crore

DIVIDEND AND PROFITS

Rs. 1,42,430 crore

EXTERNAL GRANTS

Rs. 3,060 crore

OTHER NON TAX REVENUE

Rs. 1,22,728 crore

NON-TAX REVENUE

Rs. 2,88,757 crore

RECEIPTS OF UNION TERRITORIES

Rs. 1,518 crore

CENTRAL GOVT.

CENTRE'S NET TAX REVENUE

Rs. 12,27,014 crore

NON-TAX REVENUE

Rs. 2,88,757 crore

TOTAL REVENUE RECEIPTS

Rs. 15,15,771 crore

EXPLAINED AS AN
EXAMPLE ...

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RECEIPTS

CAPITAL RECEIPTS

UNION BUDGET
2017-18

NON-DEBT RECEIPTS

RECOVERIES OF LOANS
AND ADVANCES

Rs. 11,933 crore

MISCELLANEOUS
CAPITAL RECEIPTS

Rs. 72,500 crore

+

DEBT RECEIPTS

DEBT RECEIPTS

Rs. 5,46,532 crore

This includes
borrowings and other
liabilities

=

TOTAL CAPITAL RECEIPTS

CAPITAL RECEIPTS

Rs. 6,30,964 crore

EXPLAINED AS AN
EXAMPLE ...

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UNION BUDGET 2017-18



TOTAL RECEIPTS

TOTAL REVENUE RECEIPTS

Rs. 15,15,771 crore

+

CAPITAL RECEIPTS

Rs. 6,30,964 crore

=

TOTAL RECEIPTS

Rs. 21,46,735 crore

TOTAL EXPENDITURE

TOTAL EXPENDITURE

Rs. 21,46,735 crore

=

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